



The Three Sources of Alpha for Superior Performance

Today, all intelligent investors depend on information-based strategies. A few decades back, the traditional managers were able to get information on companies faster than their peers by virtue of their superior relationships with the insiders in the companies, the politicians, bureaucrats, etc. The ability to get first hand information was the competitive edge. This enabled them to make superior returns in the stock markets.

Times changed, and with the progress of computer technology, large amounts of information could be processed quickly. The assimilation of information became easy due to faster communication channels and the advent of the Internet. The new competitive edge needed not only a quick access to information, but also the ability to process loads of information in the shortest possible time. Spreadsheets became the order of the day. Over time, this edge became a commodity, as Moore's law has enabled broader use of computing technologies due to their ever-falling prices.

The world has changed with the advent of the Internet and fast technological advances. We now have real time information—opinions from across the globe can be expressed together in real time on chat sites. There is an information overload which brings chaos. The quantum and speed add to the confusion. The human mind is faced with continuous decision-making and this overload leads to emotional decisions out of fear and greed. Thus, understanding human behaviour and identifying mispriced securities due to such behaviour is the new competitive edge.

The recent stock market volatility and the losses suffered by so many investors calls for a drastic change in the way we look at the stock markets. From this great crisis arises a greater opportunity to embrace the new concepts of behavioural finance as a strategy.

In the year 2002, the Nobel Prize for Economics was conferred on Daniel Kahneman, who, along with Amos Twersky, outlined the Prospect Theory, one of the key pillars of behavioural finance.